

US Automobile Industry Overview

Particular	What to Analyse	Key Findings (US Auto Industry, FY26)
Industry definition	What comes under the industry	Design, manufacture, marketing and sale of passenger cars, light trucks/SUVs and pickups, plus supporting distribution (dealer networks) and captive finance arms.
Industry size	Current market size	Estimates vary widely by scope: IBISWorld sizes the narrower Automobile & Light-Duty Motor Vehicle Manufacturing industry at ~US\$393bn in 2026 (190 establishments), while broader 'automotive market' definitions that include services, parts and financing range from US\$1.0-1.2 trillion (2024-25) up to several trillion when North America-wide.
Historical growth	5-year unit/revenue trend	US new light-vehicle sales fell sharply in 2020 (COVID), stayed supply-constrained through 2021-22 (chip shortage), then recovered steadily: 2025 deliveries rose ~2.4% to about 16.2 million units, the best year since 2019 and just above the 1986 level, despite the US population having grown ~21% since 2000.
Expected growth	Forward outlook	Cox Automotive and most forecasters see 2026 US sales roughly flat to slightly down (tariff-driven price increases and post-EV-credit demand softness are headwinds); longer-run market-value forecasts cited by research firms range ~2-7% CAGR through the early 2030s depending on scope (unit sales vs. broader market value including EV/software content).
Tariff & trade policy	Section 232 tariffs, USMCA	Since April 2025 the US has applied a 25% Section 232 tariff on imported vehicles (with an offset/exemption for the US content of USMCA-compliant vehicles) and a 25% tariff on many imported auto parts from May 2025; medium/heavy-duty vehicles and buses were added in November 2025. Kelley Blue Book estimated tariffs added ~US\$30bn in industry costs in 2025 and lifted average MSRPs by roughly 10%, with imported vehicles seeing US\$5,000-8,900 increases versus US\$1,600-2,000 for domestic models.
EV transition	Adoption trend and policy shift	The US\$7,500 federal EV tax credit expired 30 Sep 2025, triggering a Q3 2025 buying rush (EV share peaked ~10.6%) followed by a sharp correction: Q1 2026 EV sales fell ~28% YoY to ~216,000 units (share ~5.8%), before a partial Q2 2026 rebound to ~247,000-275,000 units. Full-year 2025 EV share was ~7.8-9.6% depending on source, roughly flat-to-down versus 2024's ~8-10%.
Hybrid strength	Powertrain mix shift	With pure-EV demand cooling, hybrids have become the primary electrification growth engine: Ford's 2025 hybrid sales rose ~22% to a record ~228,000 units versus EV sales of just ~84,000 (down ~14%); GM and Toyota also posted strong hybrid gains, with Toyota's hybrid-only Camry and RAV4/Hybrid variants setting sales records.
Major segments	Body-style/segment mix	Pickups and SUVs continue to dominate US demand: the Ford F-Series, Chevrolet Silverado, Ram Pickup and GMC Sierra together sold over 2.1 million units in 2025; six of the ten best-selling US models were pickups or truck-based. Traditional sedans (Camry, Corolla, Civic) remain resilient niches, particularly in hybrid form.
Major players	Leading manufacturers by US sales	General Motors led 2025 US sales (~2.85 million vehicles, ~17% share), followed by Toyota (~2.5-2.52 million, its best year since 2015) and Ford (~2.1-2.2 million). The top four sellers (GM, Toyota, Ford, Hyundai) gained a combined ~2.6 points of share in 2025 while most smaller automakers, notably Stellantis (down ~3-4%) and Nissan, lost ground.
Competitive structure	Domestic vs. foreign-owned production	As of 2024 (latest full-year data), foreign automakers had invested ~US\$124bn in US operations and produced 4.9 million of the 10.2 million vehicles built domestically. The 'Detroit Three' (GM, Ford, Stellantis) compete directly against large US-manufacturing footprints from Toyota, Honda, Hyundai-Kia and others, blurring the domestic/import distinction that tariffs are meant to address.
China EV threat	Emerging competitive risk	Chinese OEMs (BYD, Geely/Zeekr, Xiaomi, SAIC) lead global EV volume and cost structure, undercutting Western pricing by an estimated 25-40%, but combined US tariffs on Chinese-built EVs run as high as ~127.5%, keeping them out of the retail market for now. Analysts view this as a delayed rather than resolved threat, with indirect entry routes (Mexico assembly, rebadged JV brands, Waymo's use of Zeekr-built robotaxi vans) already emerging.
Autonomous & software	ADAS/AV and software-defined vehicles	Waymo's robotaxi fleet surpassed 4 million paid rides by 2024-25 and continues expanding to new US metros; the global autonomous-vehicle market is projected to grow from roughly US\$220bn (2026) to US\$656bn by 2031. Traditional automakers are investing heavily in software-defined vehicle platforms and connected-service subscriptions as a new profit pool alongside hardware margins.
Cost pressures	Labor, steel/aluminum, financing	Beyond vehicle/parts tariffs, a tiered Section 232 regime taxes steel and aluminum inputs (up to 50% on raw metal, lower on derivative goods), raising input costs industry-wide. Elevated interest rates have also kept auto-loan financing costs high, pressuring affordability even as automakers absorbed part of the tariff burden through pricing and destination-fee increases (2026-model full-size truck destination fees reached record levels, e.g., ~US\$2,795 for GM/Ford).

Ford Motor Company (F)				
Income Statement				
Particulars	2022	2023	2024	2025
	31-Dec	31-Dec	31-Dec	31-Dec
Total Revenues	158,057	176,191	184,992	187,267
Total Revenues Growth	15.93%	11.47%	5%	1.23%
Cost Of Revenues	140,834	160,031	169,486	176,387
Gross Profit	17,223	16,160	15,506	10,880
Gross Profit Growth	4.78%	-6.17%	-4.05%	-29.83%
Gross Profit Margin %	10.90%	9.17%	8.38%	5.81%
Other Operating Expenses, Total	9,143	13,196	9,876	11,482
Other Operating Expenses, Total Growth	-5.95%	44.33%	-25.16%	16.26%
R&D Expenses	-	-	-	-
Selling General & Admin Expenses	9,143	13,196	9,876	11,482
Other Operating Expenses	-	-	-	-
Operating Income	8,080	2,964	5,630	-602
Operating Income Growth	20.29%	-63.32%	89.95%	-110.69%
EBIT Margin %	5.11%	1.68%	3.04%	-0.32%
Net Interest Expenses	-643	249	404	157
Net Interest Expenses Growth	58.30%	138.72%	62.25%	-61.14%
Interest Expense, Total	-1,282	-1,318	-1,136	-1,333
Interest And Investment Income	639	1,567	1,540	1,490
Other Non Operating Expenses, Total	-2,347	950	1,163	-2,540
EBT, Excl. Unusual Items	5,090	4,163	7,197	-2,985
Gain (Loss) On Sale Of Assets	-	-	-	-
Other Unusual Items, Total	-441	-	-	-9,200
EBT, Incl. Unusual Items	-3,016	3,967	7,233	-11,830
EBT, Incl. Unusual Items Growth	-116.96%	231.53%	82.33%	-263.56%
EBT, Incl. Unusual Items Margin	-1.91%	2.25%	3.91%	-6.32%
Income Tax Expense	-864	-362	1,339	-3,668
Net Income to Company	-2,152	4,329	5,894	-8,162
Minority Interest	171	18	-15	-20
Net Income	-1,981	4,347	5,879	-8,182

Net Income Growth	-111.04%	319.43%	35.24%	-239.17%
Net Income Margin %	-1.25%	2.47%	3.18%	-4.37%
Preferred Dividend and Other Adjustments	-	-	-	-
Net Income to Common Excl. Extra Items	-1,981	4,347	5,879	-8,182
Basic EPS - Continuing Operations	-0.49	1.09	1.48	-2.06
Basic EPS - Continuing Operations Growth	-110.98%	320.31%	35.92%	-239.14%
Diluted EPS - Continuing Operations	-0.49	1.08	1.46	-2.06
Diluted EPS - Continuing Operations Growth	-111.09%	318.84%	35.19%	-241.10%
Basic Weighted Average Shares Outstanding	4,014	3,998	3,978	3,979
Diluted Weighted Average Shares Outstanding	4,014	4,041	4,021	3,979
Dividend Per Share	0.5	0.6	0.6	0.6
Dividend Per Share Growth	400%	20%	0%	0%
EBITDA	14,573	9,487	11,497	5,393
EBITDA Growth	14.96%	-34.90%	21.19%	-53.09%
EBITDA Margin %	9.22%	5.38%	6.21%	2.88%
EBIT	8,080	2,964	5,630	-602

Balance Sheet

Particulars	2022	2023	2024	2025
	31-Dec	31-Dec	31-Dec	31-Dec
Total Current Assets	116,476	121,481	124,474	123,487
Cash And Equivalents	14,741	14,204	13,663	14,086
Cash And Equivalents Growth	53.92%	-3.64%	-3.81%	3.10%
Short Term Investments	17,443	14,520	14,707	14,347
Total Receivables	15,729	15,601	14,723	15,398
Accounts Receivable, Total	15,729	15,601	14,723	15,398
Other Receivables	-	-	-	-
Inventory	14,080	15,651	14,951	15,285
Prepaid Expenses	-	-	-	-
Finance Division Loans and Leases Current	38,720	46,425	51,850	49,130
Finance Division Other Current Assets, Total	12,073	11,741	10,313	11,353
Other Current Assets	3,690	3,339	4,267	3,888
Restricted Cash	-	-	-	-
Other Current Assets, Total	3,690	3,339	4,267	3,888
Total Assets	255,884	273,310	285,196	289,160
Total Assets Growth	-0.45%	6.81%	4.35%	1.39%
Net Property Plant And Equipment	39,663	43,706	45,494	38,988
Gross Property Plant And Equipment	71,444	77,385	79,019	38,988
Accumulated Depreciation	-31,781	-33,679	-33,525	-
Long-term Investments	3,182	5,548	6,821	2,628
Intangible Assets	689	763	727	-

Goodwill	603	683	658	-
Other Intangibles, Total	86	80	69	-
Finance Division Loans and Leases Long-Term	49,903	55,650	59,786	61,449
Other Assets, Total	24,023	25,693	26,117	32,977
Loans Receivable Long-Term	-	-	-	-
Accounts Receivable Long-Term	-	-	-	-
Deferred Tax Assets Long-Term	15,552	16,985	16,375	21,441
Deferred Charges Long-Term	315	317	312	-
Other Long-Term Assets, Total	8,156	8,391	9,430	11,536
Total Current Liabilities	96,866	101,531	106,859	114,890
Accounts Payable, Total	25,605	25,992	-	24,845
Accrued Expenses, Total	3,480	4,042	4,353	-
Short-term Borrowings	359	362	632	1,355
Current Portion of Long-Term Debt / Leases	775	596	1,682	4,762
Current Portion of Long-Term Debt	285	83	1,030	4,059
Current Portion of Leases	490	513	652	703
Other Current Liabilities, Total	17,213	21,347	46,999	28,551
Current Income Taxes Payable	-	-	-	-
Unearned Revenue Current, Total	2,404	2,515	3,331	-
Other Current Liabilities	14,809	18,832	43,668	28,551
Total Liabilities	212,717	230,512	240,338	253,180
Total Liabilities Growth	2.07%	8.37%	4.26%	5.34%
Long-Term Debt	18,712	18,861	18,187	15,615
Long-Term Leases	1,589	2,001	2,493	2,589
Other Liabilities, Total	25,945	28,024	28,124	28,404
Unearned Revenue Non Current	4,883	5,051	4,910	-
Pension & Other Post Retirement Benefits	10,637	11,585	9,356	-
Deferred Tax Liability Non Current	1,549	1,005	1,074	694
Other Non Current Liabilities	8,876	10,383	12,784	27,710
Total Equity	43,167	42,798	44,858	35,980
Total Preferred Equity	-	-	-	-
Preferred Stock Redeemable	-	-	-	-
Preferred Stock Non Redeemable	-	-	-	-
Preferred Stock Convertible	-	-	-	-
Common Stock & APIC	22,874	23,170	23,544	23,964
Common Stock, Total	42	42	42	42
Additional Paid In Capital	22,832	23,128	23,502	23,922
Retained Earnings	31,754	31,029	33,740	22,508
Treasury Stock & Other	-11,386	-11,426	-12,449	-10,520
Treasury Stock	-2,047	-2,384	-2,810	-2,810
Comprehensive Income and Other	-9,339	-9,042	-9,639	-7,710
Minority Interest	-75	25	23	28
Total Liabilities And Equity	255,884	273,310	285,196	289,160
Total Debt	21,076	21,458	22,362	22,966
Total Debt Growth	-1.89%	1.81%	4.21%	2.70%

Cash Flow Statement

Particulars	2022	2023	2024	2025
	31-Dec	31-Dec	31-Dec	31-Dec
Cash from Operations	6,853	14,918	15,423	21,282
Cash from Operations Growth	-56.59%	117.69%	3.39%	37.99%
Net Income	-1,981	4,347	5,879	-8,182
Depreciation & Amortization, Total	6,493	6,523	5,867	5,995
Amortization of Deferred Charges, Total	-	-	-	-
Other Non-Cash Items, Total	9,392	2,885	2,021	10,626
Change in Net Operating Assets	-7,051	1,163	1,656	12,843

Cash from Investing	-4,347	-17,628	-24,370	-18,049
Cash from Investing Growth	-258.36%	-305.52%	-38.25%	25.94%
Capital Expenditure	-6,866	-8,236	-8,684	-8,815
Sale of Property, Plant, and Equipment	-	-	-	-
Cash Acquisitions	-	-	-	-
Divestitures	449	-	-	-
Other Investing Activities	2,070	-9,392	-15,686	-9,234
Cash from Financing	2,511	2,584	7,485	-3,205
Cash from Financing Growth	110.69%	2.91%	189.67%	-142.82%
Total Debt Issued	50,930	51,659	57,312	50,342
Short Term Debt Issued, Total	5,460	-	-	654
Long-Term Debt Issued, Total	45,470	51,659	57,312	49,688
Total Debt Repaid	-45,655	-43,504	-45,956	-50,303
Short Term Debt Repaid, Total	-	-1,539	-276	-
Long-Term Debt Repaid, Total	-45,655	-41,965	-45,680	-50,303
Issuance of Common Stock	-	-	-	-
Repurchase of Common Stock	-484	-335	-426	-
Issuance of Preferred Stock	-	-	-	-
Repurchase of Preferred Stock	-	-	-	-
Common & Preferred Stock Dividends Paid	-2,009	-2,397.60	-2,398.46	-2,391.20
Special Dividend Paid	-	-2,597.40	-719.54	-597.8
Other Financing Activities	-271	-2,838.40	-1,046.54	-852.8
Foreign Exchange Rate Adjustments	-414	-104	-458	532
Miscellaneous Cash Flow Adjustments	-	-	-	-
Net Change in Cash	4,603	-230	-1,920	560
Beginning Cash Balance	10,138	14,434	15,583	13,526
Ending Cash Balance	14,741	14,204	13,663	14,086
Levered Free Cash Flow	983.75	-3,848.25	1,127.75	1,758.63
Levered Free Cash Flow Growth	-88.11%	-491.18%	129.31%	55.94%
Free Cash Flow Yield	-0.03%	13.71%	17.11%	23.88%

General Motors Company (GM)

Income Statement

Particulars	2022	2023	2024	2025
	31-Dec	31-Dec	31-Dec	31-Dec
Total Revenues	156,735	171,842	187,442	185,019
Total Revenues Growth	23.41%	9.64%	9.08%	-1.29%
Cost Of Revenues	135,581	152,566	164,293	165,184
Gross Profit	21,154	19,276	23,149	19,835
Gross Profit Growth	17.01%	-8.88%	20.09%	-14.32%
Gross Profit Margin %	13.50%	11.22%	12.35%	10.72%
Other Operating Expenses, Total	9,155	9,656	10,430	8,443
Other Operating Expenses, Total Growth	37.77%	5.47%	8.02%	-19.05%
R&D Expenses	-	-	-	-
Selling General & Admin Expenses	9,155	9,656	10,430	8,443
Other Operating Expenses	-	-	-	-
Operating Income	11,999	9,620	12,719	11,392
Operating Income Growth	4.94%	-19.83%	32.21%	-10.43%
EBIT Margin %	7.66%	5.60%	6.79%	6.16%
Net Interest Expenses	-527	198	121	127
Net Interest Expenses Growth	34.45%	137.57%	-38.89%	4.96%
Interest Expense, Total	-987	-911	-846	-727
Interest And Investment Income	460	1,109	967	854
Other Non Operating Expenses, Total	1,017	662	-4,096	-475
EBT, Excl. Unusual Items	12,489	10,480	8,744	11,044
Gain (Loss) On Sale Of Assets	-	-	-	-
Other Unusual Items, Total	-	-	-	-500
EBT, Incl. Unusual Items	11,596	10,403	8,519	3,118
EBT, Incl. Unusual Items Growth	-8.81%	-10.29%	-18.11%	-63.40%
EBT, Incl. Unusual Items Margin	7.40%	6.05%	4.54%	1.69%
Income Tax Expense	1,888	563	2,556	338
Net Income to Company	9,708	9,840	5,963	2,780
Minority Interest	226	287	45	-83
Net Income	9,934	10,127	6,008	2,697

Net Income Growth	-0.85%	1.94%	-40.67%	-55.11%
Net Income Margin %	6.34%	5.89%	3.21%	1.46%
Preferred Dividend and Other Adjustments	1,019	106	-1,181	-483
Net Income to Common Excl. Extra Items	8,915	10,021	7,189	3,180
Basic EPS - Continuing Operations	6.17	7.35	6.45	3.33
Basic EPS - Continuing Operations Growth	-9%	19.08%	-12.24%	-48.35%
Diluted EPS - Continuing Operations	6.13	7.32	6.37	3.27
Diluted EPS - Continuing Operations Growth	-8.51%	19.41%	-12.98%	-48.67%
Basic Weighted Average Shares Outstanding	1,445	1,364	1,115	955
Diluted Weighted Average Shares Outstanding	1,454	1,369	1,129	973
Dividend Per Share	0.18	0.36	0.48	0.57
Dividend Per Share Growth	-	100%	33.33%	18.75%
EBITDA	17,824	15,784	18,689	17,629
EBITDA Growth	5.50%	-11.45%	18.40%	-5.67%
EBITDA Margin %	11.37%	9.19%	9.97%	9.53%
EBIT	11,999	9,620	12,719	11,392

Balance Sheet				
Particulars	2022	2023	2024	2025
	31-Dec	31-Dec	31-Dec	31-Dec
Total Current Assets	100,451	101,618	108,545	108,767
Cash And Equivalents	15,153	13,553	19,872	20,945
Cash And Equivalents Growth	-5.69%	-10.56%	46.62%	5.40%
Short Term Investments	12,150	7,613	7,265	6,724
Total Receivables	13,333	12,378	12,827	13,054
Accounts Receivable, Total	13,333	12,378	12,484	12,713
Other Receivables	-	-	343	341
Inventory	15,366	16,461	14,564	14,467
Prepaid Expenses	-	-	-	-
Finance Division Loans and Leases Current	33,623	39,076	46,362	45,266
Finance Division Other Current Assets, Total	6,176	7,698	2,410	2,635
Other Current Assets	4,650	4,839	5,245	5,676
Restricted Cash	180	206	198	277
Other Current Assets, Total	4,470	4,633	5,047	5,399
Total Assets	264,037	273,064	279,761	281,284
Total Assets Growth	7.89%	3.42%	2.45%	0.54%
Net Property Plant And Equipment	46,348	51,300	52,823	52,683
Gross Property Plant And Equipment	79,395	86,824	89,651	95,312
Accumulated Depreciation	-33,047	-35,524	-36,828	-42,629
Long-term Investments	8,511	8,943	5,896	4,564
Intangible Assets	3,604	3,508	3,212	3,018
Goodwill	-	-	-	-

Other Intangibles, Total	3,604	3,508	3,212	3,018
Finance Division Loans and Leases Long-Term	40,591	45,043	46,474	44,384
Other Assets, Total	26,197	27,106	27,430	30,937
Loans Receivable Long-Term	-	-	-	-
Accounts Receivable Long-Term	-	-	-	-
Deferred Tax Assets Long-Term	20,539	22,339	21,254	22,960
Deferred Charges Long-Term	-	-	-	-
Other Long-Term Assets, Total	5,658	4,767	6,176	7,977
Total Current Liabilities	91,173	94,445	96,265	93,342
Accounts Payable, Total	27,486	28,114	25,680	23,919
Accrued Expenses, Total	19,132	21,013	22,974	23,230
Short-term Borrowings	1,959	428	2,141	656
Current Portion of Long-Term Debt / Leases	247	264	254	266
Current Portion of Long-Term Debt	-	-	-	-
Current Portion of Leases	247	264	254	266
Other Current Liabilities, Total	5,530	6,086	7,925	10,259
Current Income Taxes Payable	-	-	-	-
Unearned Revenue Current, Total	2,489	2,802	3,371	3,950
Other Current Liabilities	3,041	3,284	4,554	6,309
Total Liabilities	191,753	204,757	214,171	218,116
Total Liabilities Growth	7.18%	6.78%	4.60%	1.84%
Long-Term Debt	15,504	15,548	12,944	14,976
Long-Term Leases	1,348	1,344	1,344	1,650
Other Liabilities, Total	23,692	26,632	26,645	29,130
Unearned Revenue Non Current	3,552	5,019	5,940	7,098
Pension & Other Post Retirement Benefits	10,910	11,694	10,424	10,528
Deferred Tax Liability Non Current	-	-	-	-
Other Non Current Liabilities	9,230	9,919	10,281	11,504
Total Equity	72,284	68,307	65,590	63,168
Total Preferred Equity	-	-	-	-
Preferred Stock Redeemable	-	-	-	-
Preferred Stock Non Redeemable	-	-	-	-
Preferred Stock Convertible	-	-	-	-
Common Stock & APIC	26,442	19,142	20,853	19,937
Common Stock, Total	14	12	10	9
Additional Paid In Capital	26,428	19,130	20,843	19,928
Retained Earnings	49,251	55,391	53,472	51,524
Treasury Stock & Other	-7,901	-10,247	-11,253	-10,342
Treasury Stock	-	-	-	-
Comprehensive Income and Other	-7,901	-10,247	-11,253	-10,342
Minority Interest	4,492	4,021	2,518	2,049
Total Liabilities And Equity	264,037	273,064	279,761	281,284
Total Debt	17,099	17,156	14,542	16,892
Total Debt Growth	-2.69%	0.33%	-15.24%	16.16%

Cash Flow Statement

Particulars	2022	2023	2024	2025
	31-Dec	31-Dec	31-Dec	31-Dec
Cash from Operations	16,043	20,930	20,129	26,867
Cash from Operations Growth	5.63%	30.46%	-3.83%	33.47%
Net Income	9,934	10,127	6,008	2,697
Depreciation & Amortization, Total	5,825	6,164	5,970	6,237
Amortization of Deferred Charges, Total	5,453	5,605	5,598	5,766
Other Non-Cash Items, Total	-2,192	-2,788	4,082	3,111
Change in Net Operating Assets	-2,977	1,822	-1,529	9,056

Cash from Investing	-17,882	-14,663	-20,517	-16,134
Cash from Investing Growth	-9.34%	18%	-39.92%	21.36%
Capital Expenditure	-9,238	-10,970	-10,830	-9,303
Sale of Property, Plant, and Equipment	-	-	-	-
Cash Acquisitions	-	-	-	-
Divestitures	-	-	-	-
Other Investing Activities	-8,644	-3,693	-9,687	-6,831
Cash from Financing	383	-6,353	1,938	-9,590
Cash from Financing Growth	-78.04%	-1758.75%	130.51%	-594.84%
Total Debt Issued	46,186	50,963	53,563	43,191
Short Term Debt Issued, Total	373	-	128	-
Long-Term Debt Issued, Total	45,813	50,963	53,435	43,191
Total Debt Repaid	-39,606	-44,831	-43,399	-45,903
Short Term Debt Repaid, Total	-	-156	-	-312
Long-Term Debt Repaid, Total	-39,606	-44,675	-43,399	-45,591
Issuance of Common Stock	-	-	-	-
Repurchase of Common Stock	-2,500	-11,115	-7,064	-6,012
Issuance of Preferred Stock	-	-	-	-
Repurchase of Preferred Stock	-	-	-	-
Common & Preferred Stock Dividends Paid	-257	-477	-530	-538
Special Dividend Paid	-	-	-	-
Other Financing Activities	-3,440	-893	-632	-328
Foreign Exchange Rate Adjustments	-138	54	-503	177
Miscellaneous Cash Flow Adjustments	-	1	-	-
Net Change in Cash	-1,594	-31	1,047	1,320
Beginning Cash Balance	16,747	13,584	18,825	19,625
Ending Cash Balance	15,153	13,553	19,872	20,945
Levered Free Cash Flow	10,446.50	4,464.13	7,651.63	8,559.63
Levered Free Cash Flow Growth	64.24%	-57.27%	71.40%	11.87%
Free Cash Flow Yield	14.00%	20.33%	15.66%	22.62%

Toyota Motor Corporation ADR (TM) — figures in US\$				
Income Statement				
Particulars	2022	2023	2024	2025
	31-Dec	31-Dec	31-Dec	31-Dec
Total Revenues	280,174	275,217	311,002	313,965
Total Revenues Growth	15.30%	18.40%	21.37%	6.52%
Cost Of Revenues	226,856	228,491	246,393	251,431
Gross Profit	53,319	46,726	64,609	62,534
Gross Profit Growth	23.58%	5.63%	48.51%	2.13%
Gross Profit Margin %	19.03%	16.98%	20.77%	19.92%
Other Operating Expenses, Total	26,571	26,578	27,692	31,258
Other Operating Expenses, Total Growth	12.96%	20.57%	11.91%	19.10%
R&D Expenses	-	-	-	-
Selling General & Admin Expenses	26,571	26,578	27,692	31,258
Other Operating Expenses	-	-	-	-
Operating Income	26,747	20,148	36,917	31,276
Operating Income Growth	36.31%	-9.20%	96.80%	-10.60%
EBIT Margin %	9.55%	7.32%	11.87%	9.96%
Net Interest Expenses	1,463	2,193	3,566	2,621
Net Interest Expenses Growth	7.81%	80.65%	74.68%	-22.47%
Interest Expense, Total	-290	-351	-446	-550
Interest And Investment Income	1,753	2,544	4,013	3,170
Other Non Operating Expenses, Total	7,419	4,835	7,552	8,028
EBT, Excl. Unusual Items	35,630	27,176	48,035	41,925
Gain (Loss) On Sale Of Assets	-	-	-	-
Other Unusual Items, Total	-	-	-	-
EBT, Incl. Unusual Items	35,630	27,176	48,035	41,925
EBT, Incl. Unusual Items Growth	36.09%	-8.06%	89.85%	-7.90%
EBT, Incl. Unusual Items Margin	12.72%	9.87%	15.45%	13.35%
Income Tax Expense	9,964	8,709	13,060	10,620
Net Income to Company	25,666	18,466	34,975	31,306
Minority Interest	-219	-309	-872	-161
Net Income	25,447	18,158	34,103	31,144
Net Income Growth	26.94%	-13.99%	101.73%	-3.64%
Net Income Margin %	9.08%	6.60%	10.97%	9.92%
Preferred Dividend and Other Adjustments	-	-	-	-

Net Income to Common Excl. Extra Items	25,447	18,158	34,103	31,144
Basic EPS - Continuing Operations	1.83	1.33	2.52	2.35
Basic EPS - Continuing Operations Growth	27.75%	-12.55%	103.90%	-1.74%
Diluted EPS - Continuing Operations	1.83	1.33	2.52	2.35
Diluted EPS - Continuing Operations Growth	29.13%	-12.55%	103.90%	-1.74%
Basic Weighted Average Shares Outstanding	13,887.35	13,658.38	13,512.85	13,252.46
Diluted Weighted Average Shares Outstanding	13,887.66	13,658.38	13,512.85	13,252.46
Dividend Per Share	0.46	0.44	0.52	0.59
Dividend Per Share Growth	10.64%	15.38%	25%	20%
EBITDA	43,014	34,635	49,363	43,320
EBITDA Growth	30.58%	-2.94%	53.08%	-7.40%
EBITDA Margin %	15.35%	12.58%	15.87%	13.80%
EBIT	26,747	20,148	36,917	31,276

Balance Sheet

Particulars	2022	2023	2024	2025
	31-Dec	31-Dec	31-Dec	31-Dec
Total Current Assets	211,806	195,998	239,409	242,344
Cash And Equivalents	38,389	41,099	47,537	39,810
Cash And Equivalents Growth	31.32%	29.05%	24.23%	-11.63%
Short Term Investments	21,623	11,185	31,066	45,332
Total Receivables	29,525	28,184	26,940	25,466
Accounts Receivable, Total	21,663	20,117	18,205	15,967
Other Receivables	7,861	8,067	8,735	9,499
Inventory	34,119	31,523	31,761	30,054
Prepaid Expenses	-	-	-	-
Finance Division Loans and Leases Current	64,119	61,332	76,257	74,858
Finance Division Other Current Assets, Total	16,198	14,582	17,374	18,898
Other Current Assets	7,213	6,880	7,228	7,927
Restricted Cash	-	-	-	-
Other Current Assets, Total	7,213	6,880	7,228	7,927
Total Assets	604,364	550,394	621,478	611,774
Total Assets Growth	8.71%	9.77%	21.28%	3.87%
Net Property Plant And Equipment	69,200	60,892	63,542	63,516
Gross Property Plant And Equipment	-	-	-	-
Accumulated Depreciation	-	-	-	-
Long-term Investments	128,171	116,917	39,380	102,489
Intangible Assets	10,643	9,253	9,347	5,102
Goodwill	-	-	-	-
Other Intangibles, Total	10,643	9,253	9,347	5,102
Finance Division Loans and Leases Long-Term	130,207	122,156	142,325	144,914
Other Assets, Total	9,475	8,845	89,013	12,893
Loans Receivable Long-Term	-	-	-	-
Accounts Receivable Long-Term	-	-	-	-
Deferred Tax Assets Long-Term	3,055	2,870	3,464	3,385
Deferred Charges Long-Term	-	-	-	3,808
Other Long-Term Assets, Total	6,419	5,975	85,549	5,700
Total Current Liabilities	195,019	177,479	201,227	192,381
Accounts Payable, Total	28,286	28,291	26,400	26,372
Accrued Expenses, Total	13,575	11,499	12,854	11,947

Short-term Borrowings	5,455	5,348	3,554	4,690
Current Portion of Long-Term Debt / Leases	785	348	1,135	602
Current Portion of Long-Term Debt	785	348	628	-
Current Portion of Leases	-	-	507	602
Other Current Liabilities, Total	51,312	45,865	54,320	49,663
Current Income Taxes Payable	6,213	2,674	8,177	2,969
Unearned Revenue Current, Total	-	-	-	-
Other Current Liabilities	45,099	43,191	46,143	46,694
Total Liabilities	361,910	333,622	378,448	370,735
Total Liabilities Growth	6.73%	11.11%	21.84%	3.37%
Long-Term Debt	15,643	13,555	14,381	9,461
Long-Term Leases	-	-	2,684	2,884
Other Liabilities, Total	27,133	26,692	26,530	25,263
Unearned Revenue Non Current	-	-	-	-
Pension & Other Post Retirement Benefits	8,969	7,759	7,302	6,544
Deferred Tax Liability Non Current	12,096	13,351	15,308	10,846
Other Non Current Liabilities	6,067	5,582	3,920	7,874
Total Equity	242,454	216,772	243,030	241,039
Total Preferred Equity	-	-	-	-
Preferred Stock Redeemable	-	-	-	-
Preferred Stock Non Redeemable	-	-	-	-
Preferred Stock Convertible	-	-	-	-
Common Stock & APIC	7,997	6,635	6,130	5,813
Common Stock, Total	3,545	2,941	2,738	2,595
Additional Paid In Capital	4,452	3,694	3,392	3,218
Retained Earnings	236,189	209,950	226,175	234,256
Treasury Stock & Other	-9,846	-6,669	3,702	-5,267
Treasury Stock	-29,518	-27,678	-27,358	-28,862
Comprehensive Income and Other	19,672	21,009	31,060	23,596
Minority Interest	8,115	6,856	7,023	6,236
Total Liabilities And Equity	604,364	550,394	621,478	611,774
Total Debt	16,428	13,903	18,199	12,947
Total Debt Growth	7.06%	2.01%	40.60%	-24.94%

Cash Flow Statement

Particulars	2022	2023	2024	2025
	31-Dec	31-Dec	31-Dec	31-Dec
Cash from Operations	33,238	21,889	29,009	24,163
Cash from Operations Growth	36.50%	-20.62%	42.34%	-12.11%
Net Income	25,447	18,158	34,103	31,144
Depreciation & Amortization, Total	16,267	15,110	13,285	12,703
Amortization of Deferred Charges, Total	-	-	1,108	2,011
Other Non-Cash Items, Total	1,619	-249	7,932	-3,293
Change in Net Operating Assets	-10,095	-11,129	-27,420	-18,402
Cash from Investing	-5,156	-11,844	-34,474	-27,384
Cash from Investing Growth	87.67%	-176.87%	-212.64%	16.18%
Capital Expenditure	-31,109	-24,871	-32,511	-32,051
Sale of Property, Plant, and Equipment	14,106	12,708	14,922	11,626
Cash Acquisitions	-	-	-	-
Divestitures	-	-	-	-
Other Investing Activities	11,846	319	-16,885	-6,959
Cash from Financing	-22,022	-416	17,225	1,289
Cash from Financing Growth	-190.05%	97.72%	4545.64%	-92.10%
Total Debt Issued	72,524	70,493	85,925	87,956
Short Term Debt Issued, Total	-	1,775	2,771	495
Long-Term Debt Issued, Total	72,524	68,718	83,154	87,461
Total Debt Repaid	-84,133	-61,874	-60,361	-71,061
Short Term Debt Repaid, Total	-5,172	-	-	-
Long-Term Debt Repaid, Total	-78,961	-61,874	-60,361	-71,061
Issuance of Common Stock	-	-	-	-
Repurchase of Common Stock	-3,614	-3,193	-1,594	-7,706

Issuance of Preferred Stock	-	-	-	-
Repurchase of Preferred Stock	-	-	-	-
Common & Preferred Stock Dividends Paid	-6,338	-5,392	-6,070	-7,401
Special Dividend Paid	-	-	-	-
Other Financing Activities	-462	-449	-675	-499
Foreign Exchange Rate Adjustments	2,984	765	1,310	-876
Miscellaneous Cash Flow Adjustments	-	-	-	-
Net Change in Cash	9,043	10,395	13,070	-2,808
Beginning Cash Balance	29,346	30,704	34,467	42,618
Ending Cash Balance	38,389	41,099	47,537	39,810
Levered Free Cash Flow	-830.00	-1,879.00	12,099.00	-5,592.00
Levered Free Cash Flow Growth	-106.27%	-172.97%	791.58%	-148.77%
Free Cash Flow Yield	-4.30%	-38.79%	-24.76%	-66.72%

	Ford Motor Company			
Particulars	2022	2023	2024	2025
Revenue	158,057	176,191	184,992	187,267
Revenue Growth %		11.47%	5.00%	1.23%
EBITDA	14,573	9,487	11,497	5,393
EBITDA Growth %		-34.90%	21.19%	-53.09%
EBIT	8,080	2,964	5,630	-602
PAT	-1,981	4,347	5,879	-8,182
PAT Growth %		-319%	35%	-239%
EPS	-0.49	1.09	1.48	-2.06
Total Assets	255,884	273,310	285,196	289,160
Current Assets	116,476	121,481	124,474	123,487
Current Liabilities	96,866	101,531	106,859	114,890
Cash & Cash Equivalents	14,741	14,204	13,663	14,086
Inventory	14,080	15,651	14,951	15,285
Trade Receivables	15,729	15,601	14,723	15,398
Trade Payables	25,605	25,992	-	24,845
Total Debt	19,071	19,223	18,819	16,970
Total Equity	43,167	42,798	44,858	35,980
Operating Cash Flow	6,853	14,918	15,423	21,282
Capex	6,866	8,236	8,684	8,815
Free Cash Flow	-13	6,682	6,739	12,467

	General Motors Company			
Particulars	2022	2023	2024	2025
Revenue	156,735	171,842	187,442	185,019
Revenue Growth %		9.64%	9.08%	-1.29%
EBITDA	17,824	15,784	18,689	17,629
EBITDA Growth %		-11.45%	18.40%	-5.67%
EBIT	11,999	9,620	12,719	11,392
PAT	9,934	10,127	6,008	2,697
PAT Growth %		1.94%	-40.67%	-55.11%
EPS	6.16955	7.346774	6.447534	3.329843
Total Assets	264,037	273,064	279,761	281,284
Current Assets	100,451	101,618	108,545	108,767
Current Liabilities	91,173	94,445	96,265	93,342
Cash & Cash Equivalents	15,153	13,553	19,872	20,945
Inventory	15,366	16,461	14,564	14,467
Trade Receivables	13,333	12,378	12,484	12,713
Trade Payables	27,486	28,114	25,680	23,919
Total Debt	17,463	15,976	15,085	15,632
Total Equity	72,284	68,307	65,590	63,168
Operating Cash Flow	16,043	20,930	20,129	26,867
Capex	9,238	10,970	10,830	9,303
Free Cash Flow	6,805	9,960	9,299	17,564

	Toyota Motor Corporation			
Particulars	2022	2023	2024	2025
Revenue	280,174	275,217	311,002	313,965
Revenue Growth %		-1.77%	13.00%	0.95%
EBITDA	43,014	34,635	49,363	43,320
EBITDA Growth %		-19.48%	42.52%	-12.24%
EBIT	26,747	20,148	36,917	31,276
PAT	25,447	18,158	34,103	31,144
PAT Growth %		-29%	88%	-9%
EPS	1.83	1.33	2.52	2.35
Total Assets	604,364	550,394	621,478	611,774
Current Assets	211,806	195,998	239,409	242,344
Current Liabilities	195,019	177,479	201,227	192,381
Cash & Cash Equivalents	38,389	41,099	47,537	39,810
Inventory	34,119	31,523	31,761	30,054
Trade Receivables	21,663	20,117	18,205	15,967
Trade Payables	28,286	28,291	26,400	26,372
Total Debt	21,098	18,903	17,935	14,151
Total Equity	242,454	216,772	243,030	241,039
Operating Cash Flow	33,238	21,889	29,009	24,163
Capex	31,109	24,871	32,511	32,051
Free Cash Flow	2,129	-2,982	-3,502	-7,888

Growth Analysis																
Ford Motor Company					General Motors Company					Toyota Motor Corporation						
Particulars	2022	2023	2024	2025	Particulars	2022	2023	2024	2025	Particulars	2022	2023	2024	2025		
Revenue Growth %		11.47%	5.00%	1.23%	Revenue Growth %		9.64%	9.08%	-1.29%	Revenue Growth %		-1.77%	13.00%	0.95%		
EBITDA Growth %		-34.90%	21.19%	-53.09%	EBITDA Growth %		-11.45%	18.40%	-5.67%	EBITDA Growth %		-19.48%	42.52%	-12.24%		
PAT Growth %		-319%	35%	-239%	PAT Growth %		1.94%	-40.67%	-55.11%	PAT Growth %		-29%	88%	-9%		
3-Year Revenue CAGR				6%	3-Year Revenue CAGR				6%	3-Year Revenue CAGR				4%		
3-Year EBITDA CAGR				-28%	3-Year EBITDA CAGR				0%	3-Year EBITDA CAGR				0%		
3-Year PAT CAGR				60%	3-Year PAT CAGR				-35%	3-Year PAT CAGR				7%		

Profitability Analysis																
	Ford Motor Company						General Motors Company						Toyota Motor Corporation			
Particulars	2022	2023	2024	2025		Particulars	2022	2023	2024	2025		Particulars	2022	2023	2024	2025
Gross Margin	10.90%	9.17%	8.38%	5.81%		Gross Margin	13.50%	11.22%	12.35%	10.72%		Gross Margin	19.03%	16.98%	20.77%	19.92%
EBITDA Margin	9.22%	5.38%	6.21%	2.88%		EBITDA Margin	11.37%	9.19%	9.97%	9.53%		EBITDA Margin	15.35%	12.58%	15.87%	13.80%
EBIT Margin	5.11%	1.68%	3.04%	-0.32%		EBIT Margin	7.66%	5.60%	6.79%	6.16%		EBIT Margin	9.55%	7.32%	11.87%	9.96%
PAT Margin	-1.25%	2.47%	3.18%	-4.37%		PAT Margin	6.34%	5.89%	3.21%	1.46%		PAT Margin	9.08%	6.60%	10.97%	9.92%
ROA	-1%	2%	2%	-3%		ROA	4%	4%	2%	1%		ROA	4%	3%	5%	5%
ROE	-5%	10%	13%	-23%		ROE	14%	15%	9%	4%		ROE	10%	8%	14%	13%
ROCE	-3%	7%	9%	-15%		ROCE	11%	12%	7%	3%		ROCE	10%	8%	13%	12%

Liquidity Analysis																		
	Ford Motor Company						General Motors Company						Toyota Motor Corporation					
Particulars	2022	2023	2024	2025			Particulars	2022	2023	2024	2025			Particulars	2022	2023	2024	2025
Current Ratio	1.20	1.20	1.16	1.07			Current Ratio	1.10	1.08	1.13	1.17			Current Ratio	1.09	1.10	1.19	1.26
Quick Ratio	1.06	1.04	1.02	0.94			Quick Ratio	0.93	0.90	0.98	1.01			Quick Ratio	0.91	0.93	1.03	1.10
Cash Ratio	0.15	0.14	0.13	0.12			Cash Ratio	0.17	0.14	0.21	0.22			Cash Ratio	0.20	0.23	0.24	0.21

Solvency Analysis																
Ford Motor Company					General Motors Company					Toyota Motor Corporation						
Particulars	2022	2023	2024	2025	Particulars	2022	2023	2024	2025	Particulars	2022	2023	2024	2025		
Debt / Equity	0.44	0.45	0.42	0.47	Debt / Equity	0.24	0.23	0.23	0.25	Debt / Equity	0.09	0.09	0.07	0.06		
Debt / Assets	0.07	0.07	0.07	0.06	Debt / Assets	0.07	0.06	0.05	0.06	Debt / Assets	0.03	0.03	0.03	0.02		
Interest Coverage	-12.57	11.90	13.94	-3.83	Interest Coverage	-22.77	48.59	105.12	89.70	Interest Coverage	18.28	9.19	10.35	11.93		
Net Debt / EBITDA	1.31	2.03	1.64	3.15	Net Debt / EBITDA	0.98	1.01	0.81	0.89	Net Debt / EBITDA	0.49	0.55	0.36	0.33		

Efficiency Analysis

	Ford Motor Company			
Particulars	2022	2023	2024	2025
Asset Turnover	0.62	0.64	0.65	0.65
Inventory Days	36.49	35.70	32.20	31.63
Receivable Days	36.32	32.32	29.05	30.01
Payable Days	66.36	59.28	-	51.41
Cash Conversion Cycle	6.45	8.73	-	10.23

	General Motors Company			
Particulars	2022	2023	2024	2025
Asset Turnover	0.59	0.63	0.67	0.66
Inventory Days	41.37	39.38	32.36	31.97
Receivable Days	31.05	26.29	24.31	25.08
Payable Days	74.00	67.26	57.05	52.85
Cash Conversion Cycle	-1.58	-1.59	-0.39	4.19

	Toyota Motor Corporation			
Particulars	2022	2023	2024	2025
Asset Turnover	0.46	0.50	0.50	0.51
Inventory Days	54.90	50.36	47.05	43.63
Receivable Days	28.22	26.68	21.37	18.56
Payable Days	45.51	45.19	39.11	38.28
Cash Conversion Cycle	37.61	31.84	29.31	23.91

Valuation Analysis	Ford Motor Company	General Motors Company	Toyota Motor Corporation
P/E	-7.09	29.48	0.08
EV / Sales	0.33	0.40	-0.07
EV / EBITDA	11.30	4.21	-0.53
Market Capitalization	58,049.60	79,515.84	2,516.37
Enterprise Value	60,933.60	74,202.84	-23,142.63
Current Share Price (\$)	14.6	87.96	192.84
Shares Outstanding	3,976	904	13.05

Peer Benchmarking	Ford Motor Company	General Motors Company	Toyota Motor Corporation
Revenue	187,267	185,019	313,965
EBITDA Margin	2.88%	9.53%	13.80%
PAT Margin	-4.37%	1.46%	9.92%
ROE	-23%	4%	13%
ROCE	-15%	3%	12%
Current Ratio	1.07	1.17	1.26
Debt / Equity	0.47	0.25	0.06
Inventory Days	31.63	31.97	43.63
P/E	-7.09	29.48	0.08
EV / EBITDA	11.30	4.21	-0.53

Industry Drivers & Trends - US Automobile Industry		
Demand-side Drivers		
Driver / Trend	Sub-point	Detail
Tariff-driven price hikes	Affordability pressure	Section 232 tariffs added an estimated ~US\$30bn in industry costs in 2025 and lifted average MSRPs ~10%, with the steepest increases (US\$5,000-8,900) on imported models; this is compressing entry-level affordability and pushing buyers toward used vehicles and smaller trims.
End of EV federal credit	Demand pull-forward and correction	The US\$7,500 federal Clean Vehicle Credit expired 30 Sep 2025, causing a Q3 2025 buying surge (EV share ~10.6%) followed by a sharp Q1 2026 pullback (share ~5.8%); a new federal auto-loan interest deduction (up to US\$10,000/year for US-assembled vehicles) has partly offset this for domestically built EVs.
Hybrid demand surge	Powertrain substitution	With pure-EV economics less favorable post-credit, hybrids have become the fastest-growing powertrain: Ford's hybrid sales rose ~22% in 2025 to a record ~228,000 units while its EV sales fell ~14%, a pattern echoed across GM and Toyota lineups.
Truck/SUV preference	Segment mix	US buyers continue to favor pickups and SUVs over sedans; full-size pickups posted their best combined sales in two decades in 2025, reflecting both lifestyle preference and higher per-unit margins that automakers favor.
Higher financing costs	Auto-loan affordability	Elevated interest rates have kept monthly payments high even as sticker prices rise from tariffs, lengthening average loan terms and pushing some buyers toward the used-vehicle market or delaying purchases.
Trade & Manufacturing Drivers		
Driver / Trend	Sub-point	Detail
Section 232 tariffs	Vehicles and parts	25% tariffs apply to imported vehicles (since Apr 2025) and many auto parts (since May 2025), with an offset for the US-content share of USMCA-compliant vehicles; medium/heavy-duty vehicles and buses were added from Nov 2025, alongside a tiered steel/aluminum/copper tariff regime (up to 50% on raw metal).
USMCA re-localization	Onshoring production	Tariff pressure is accelerating automaker investment in US, Canadian and Mexican assembly and battery capacity to maximize USMCA-qualifying content and minimize tariff exposure, reversing some of the prior decade's offshoring trend.
Foreign-automaker US footprint	Domestic manufacturing by non-US OEMs	As of 2024, foreign automakers had invested ~US\$124bn in US plants and produced 4.9 million of the 10.2 million vehicles built domestically, meaning a large share of 'foreign brand' sales are already US-manufactured and less tariff-exposed than headline brand names suggest.
Chinese EV market access	Tariff wall and indirect entry	Combined US tariffs on Chinese-built EVs run as high as ~127.5%, blocking direct retail entry; Chinese OEMs are exploring Mexico-based assembly, JV/rebadged Western brands, and specialty fleet channels (e.g., Zeekr-built vans in Waymo's robotaxi fleet) as indirect routes to the US market.
Software-defined vehicles	New profit pool	Automakers are investing in connected-service subscriptions and software platforms; industry estimates suggest software-defined vehicles could generate meaningfully higher annual recurring revenue per unit, reshaping margins beyond traditional hardware sales.
Technology & Product Trends		
Driver / Trend	Sub-point	Detail
Electrification correction	EV share normalization	Full-year 2025 US EV share landed around 7.8-9.6% (source-dependent) versus a Q3 2025 peak of ~10.6%; IEA and Cox Automotive expect 2026 full-year EV volumes to stay below 2025 levels even as quarterly sales recover sequentially through H1 2026.
Autonomous driving expansion	Robotaxi and ADAS growth	Waymo's robotaxi fleet has surpassed 4 million paid rides across 8+ US metros; the global autonomous-vehicle market is projected to grow from roughly US\$220bn (2026) to US\$656bn by 2031, and ADAS features (automatic emergency braking, lane-keeping) are increasingly standard across new US models.
Chinese EV technology gap	Cost and speed of innovation	Chinese OEMs are cited as having compressed multi-year development cycles to 18-24 months and offering EV powertrains priced 25-40% below Western competitors, a gap Detroit automakers have absorbed via an estimated ~US\$65bn in EV-program write-downs over the past 18 months.
Semiconductor & supply-chain risk	Chip availability	Residual chip-supply tightness has continued to constrain select automaker inventories into 2025-26 (e.g., cited as a factor in Honda's softer late-2025 US results), underscoring that the post-2021 chip-shortage risk has not fully disappeared.
Steel/aluminum cost inflation	Input cost pass-through	A tiered Section 232 metals regime keeps raw steel/aluminum tariffs as high as 50% (25% for many derivative products), raising input costs for US-assembled vehicles regardless of the vehicle's own tariff status, and contributing to record 2026-model destination fees on full-size trucks and SUVs.

Porter's Five Forces - US Automobile Industry

Force	Assessment	Reasons
Competitive rivalry	High	1) Numerous well-capitalised global players (GM, Ford, Toyota, Stellantis, Honda, Hyundai-Kia, Tesla) fight for share in a roughly flat ~16 million-unit US market. 2) The top four sellers (GM, Toyota, Ford, Hyundai) gained a combined ~2.6 points of share in 2025 while smaller players like Stellantis (-3-4%) and Nissan lost ground, intensifying pressure on laggards. 3) Rivalry is increasingly fought through incentives, destination-fee engineering and segment focus (trucks/SUVs/hybrids) rather than price alone, as tariffs compress margins across the board.
Threat of new entrants	Medium	1) Capital intensity, dealer-network build-out, safety/emissions certification (NHTSA/EPA/CAFE) and brand-trust requirements remain significant barriers for genuinely new entrants. 2) Section 232 tariffs (25% on imports) and combined tariffs on Chinese EVs (~127.5%) currently block the most credible new entrant threat - low-cost Chinese OEMs (BYD, Geely/Zeekr, Xiaomi) - from direct US retail entry. 3) However, indirect entry routes are emerging (Mexico-based assembly, rebadged JV brands, specialty-fleet/robotaxi channels), and US-based EV entrants (Rivian, Lucid) show that non-legacy entry is possible in narrower niches.
Bargaining power of suppliers	Medium-High	1) A tiered Section 232 regime taxes steel, aluminum and copper inputs at up to 50% on raw metal (25% on many derivative products), giving commodity and tariff exposure real leverage over automaker costs independent of supplier concentration. 2) Battery and EV-powertrain supply chains remain concentrated among a small number of global cell/material suppliers, several with strong ties to Chinese production, adding geopolitical and pricing risk. 3) Large OEMs' scale still gives them meaningful negotiating power on volume contracts, partially offsetting commodity and tariff-driven cost pressure.
Bargaining power of buyers	Medium	1) Average new-vehicle prices have risen roughly 10% on tariff pass-through, but buyers have limited near-term substitutes for new vehicles when replacement is needed, tempering price sensitivity versus categories like FMCG. 2) Buyers can and increasingly do defer purchases or shift into the used-vehicle and hybrid market when new-vehicle affordability worsens, exerting indirect pressure on OEM pricing and mix decisions. 3) Large fleet buyers and dealer networks act as concentrated intermediary buyers, negotiating incentives and allocation that add a second layer of buyer power beyond the end consumer.
Threat of substitutes	Medium	1) Public transit, ride-hailing and robotaxi services (Waymo's fleet has surpassed 4 million paid rides) offer a growing substitute for vehicle ownership in dense US metros, though this remains a small share of national travel. 2) The used-vehicle market is a direct and growing substitute for new-vehicle purchases as new-car affordability worsens under tariff-driven price increases. 3) Chinese EVs represent a longer-run substitute threat on cost (25-40% below Western pricing) but are currently walled off from the retail market by tariffs as high as ~127.5%, keeping this force Medium rather than High for now.